

Inventory System User Guide

What it does, how it works, and how managers use it every day

Prepared for your POS system

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1. What inventory means

Inventory is everything your business buys, stores, moves, and sells. The inventory system tells you **what you have, where it is, what it cost, and why the quantity changed**.

Simple example: A branch receives 20 bottles of juice and sells 3. The system records both events. On-hand stock becomes 17, and the manager can see the receiving and sale records that caused the change.

What the system does

- Keeps stock separately for every branch or location.
- Reduces stock automatically when a completed POS sale is made.
- Returns stock when an approved refund puts an item back into inventory.
- Receives goods from suppliers through purchase orders.
- Moves goods safely from one branch to another.
- Supports stock counts, corrections, damaged stock, lots, expiry dates, and serial numbers.
- Records product cost so profit reports use the cost at the time of sale.
- Keeps a movement history for checking mistakes and investigating differences.

The five important stock numbers

Number	Easy meaning
On hand	The physical quantity that should currently be at the branch.
Reserved	Stock set aside for an approved transfer or another unfinished operation.
Unavailable	Stock that exists but cannot be sold, such as damaged or quarantined goods.
Incoming	Stock ordered or transferred but not received yet.
Available	What can be sold now: on hand – reserved – unavailable .

2. How stock moves through the business

Supplier → Purchase order → Receive → Branch stock → POS sale → Customer

Every real stock change creates an inventory movement. This is the stock audit trail. A movement shows the product, branch, quantity, movement type, user, time, and related document.

Events that increase stock

- Receiving a purchase order
- Receiving an inter-branch transfer
- Restocking an eligible customer refund
- An approved positive stock-count correction
- Opening stock when a product is first created

Events that reduce stock

- A completed POS sale
- Dispatching a branch transfer
- An approved negative stock-count correction
- Recording damage, loss, or wastage

Important: Do not “fix” stock by changing a product number directly. Use receiving, transfer, refund, loss, or stock-count workflows. This leaves a proper reason and history.

Protection against mistakes

Important operations run as database transactions. If one part fails, the whole operation is cancelled instead of leaving half-finished stock. Receipt and transfer operations also use duplicate protection, so repeating the same request does not receive the same goods twice.

3. Purchasing and receiving

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Create a purchase order

1. Open **Inventory** or **Purchases**.
2. Select the supplier and destination branch.
3. Add one or more products, quantities, and agreed unit costs.
4. Create the order, then mark it sent or confirmed when appropriate.

An open order shows stock as **incoming**. Incoming stock is useful for planning, but it is not available for sale until the goods physically arrive and are received.

Receive the delivery

1. Open the purchase order and compare it with the supplier delivery.
2. Enter the quantity actually received for each line.
3. For tracked goods, enter the lot, expiry date, or serial numbers.
4. Confirm receiving. On-hand stock increases at the selected branch.

Partial delivery is supported. For example, if 100 units were ordered and only 60 arrive, receive 60 now. The remaining 40 stay open and incoming until a later delivery or cancellation.

Packages and units

A package can convert a buying unit into the base selling unit. If one carton contains 24 bottles, receiving 5 cartons adds 120 bottles. The conversion must be configured correctly before receiving.

4. Branch transfers

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Transfers move stock between branches without treating the movement as a purchase or sale.

1. **Create:** choose the source branch, destination branch, and items.
2. **Approve:** the source quantity becomes reserved, so it cannot be sold accidentally.
3. **Dispatch:** stock leaves the source and is marked in transit.
4. **Receive:** the destination confirms what actually arrived; its on-hand stock increases.

Example: Branch A has 30 units and transfers 8. After approval, 8 are reserved. After dispatch, Branch A has 22 on hand. After receiving, Branch B gains 8.

Partial receipt is allowed when only some goods arrive. Any difference should be investigated before completing or cancelling the remaining quantity.

5. Stock counts and corrections

A stock count compares the system quantity with the physical quantity on the shelf. One count can include many products.

1. Select the branch and start a count.
2. Count physical items carefully and enter each result.
3. Submit the count for review.
4. An authorized manager approves it.
5. The system records only the difference as an adjustment.

If the system says 15 and the physical count is 13, approval creates a -2 movement. The history keeps the old number, counted number, difference, reason, user, and time.

6. Tracked and perishable products

Tracking	Use it for	How it works
None	Normal everyday goods	The system tracks quantity only.
Lot	Food, medicine, cosmetics	Units are grouped under a batch or lot number.
Serial	Phones, electronics, equipment	Every unit has its own unique serial number.

Expiry control

Expiry-tracked goods store an expiry date when received. Sales use the stock that expires first, called **FEFO: First Expired, First Out**. Expired lots are not selected for normal sales.

Serial control

Each serial number can be received and sold only once. This gives traceability for warranty checks, returns, and investigations.

7. Cost and profit

The system stores cost layers when stock is received. A sale records its inventory cost at the time it happens. Later supplier price changes do not rewrite old profit.

Example: An item sells for KES 150 and its recorded cost is KES 90. Gross profit is KES 60 before other expenses.

FIFO uses the oldest received cost first. This makes inventory value and product margin more useful than calculating every old sale from the product's current buying price.

8. Reordering and daily management Basic Inventory System — Basic Multi-User Guide

Each branch can have its own reorder level. When available stock falls to or below this level, the manager can see that replenishment is needed. Incoming purchase orders are shown separately, helping prevent unnecessary duplicate orders.

Recommended daily routine

- Check low-stock, expired, and near-expiry items.
- Receive only goods that physically arrived.
- Review pending transfers and unusual adjustments.
- Investigate negative stock or large count differences immediately.

Recommended weekly or monthly routine

- Count fast-moving and high-value products regularly.
- Review supplier delivery differences and open purchase orders.
- Check damaged, unavailable, and slow-moving stock.
- Review stock value, cost of goods sold, and product margins.

9. Roles and permissions

Not every staff member should perform every operation. Cashiers normally sell and view available stock. Supervisors may prepare counts or transfers. Managers approve corrections, transfers, and receiving. Purchase prices and financial values should be visible only to permitted users.

The application checks permissions on the server, not only by hiding buttons. This protects inventory when someone tries to call an action directly.

10. Common questions

Why is available stock lower than on-hand stock?

Some items are reserved or unavailable. Available stock is what can be sold safely now.

Why does incoming stock not appear at the POS?

It has not been physically received. Receive the purchase order or transfer after checking the delivery.

What should I do when the physical count is different?

Submit a stock count with a clear reason. Do not edit product stock directly.

Can I receive part of an order?

Yes. Receive the quantity delivered. The remaining quantity stays open.

How do I avoid negative stock?

Use the correct branch, receive deliveries before selling, complete transfers correctly, and count regularly. The POS checks branch availability during the sale.

Can a deleted or archived product reuse an SKU?

Active products must have unique SKUs and barcodes. Archived products do not block a new active catalog item.

Deployment note: The inventory database migration must be applied before these new workflows are used. Back up the database and run the project's migration command during deployment.

This guide explains the inventory functionality implemented in this POS application. Exact button names may change as the interface develops.